Lecture 22 (2026-08-23)

Quick Summary

Compensation management involves aligning salary structures with both internal business goals and external factors (legal requirements, market competition, cost of living). The structure is determined by three main factors: the legal landscape (e.g., the 50% basic pay rule), the organization's business strategy (Invest, Manage, or Withdraw), and the specific job profile (Job Evaluation and Description). **Furthermore, compensation management is intrinsically linked to employee motivation, retention, and overall organizational performance; a failure in compensation planning leads to a breakdown in the "offer of value" to the employee, resulting in lower morale and higher turnover.**

Performance management is a shift from traditional "appraisal" to a holistic, ongoing process focused on growth, transparency, and support. While appraisal is often a retrospective assessment of output against specific benchmarks, management is a continuous dialogue intended to identify hurdles (like resource constraints), provide developmental feedback (training/upskilling), and align individual career goals with organizational progress.

Key Definitions

Wages (Legal Definition): Monetary payments for work performed. Includes:
- Basic salary
- Dearness allowance (DA)
- Retaining allowance (where applicable)

- **Dearness Allowance (DA):** A provision to adjust for the cost of living.
- **Cost to Company (CTC):** The total salary package offered to an employee.
- **Job Evaluation (JE):** The process of determining the relative worth of a job compared to others in the organization.
- **Job Description (JD):** A document detailing the tasks, skills, qualifications, and complexity of a role; it is the result of Job Evaluation.
- **Span of Control:** The number of subordinates reporting to a single manager. Defined by the JD; complex/technical roles have a "narrow" span, while routine/local roles have a "wider" span.
- **Hygiene Factor (Herzberg's Theory):** Elements like salary and working conditions that do not necessarily provide long-term motivation but, when absent or inadequate, cause significant dissatisfaction.
- **External Equity:** Ensuring salaries are paid at par with what the industry/market is paying to prevent dissatisfaction.
- **Internal Equity:** Ensuring fairness in pay across different roles and levels within the same organization.

Challenges of Compensation (Technical Nuances):
- Skill-based Pay
- Salary Reviews
- Pay Secrecy
- Eliticism or Egalitarianism
- Comparable Worth
- Below Market or Above Market Rates
- Employee Participation

    - Monetary vs. Non-Monetary Rewards
- **Equity Theory (John Stacey Adams):** Employees compare their inputs and rewards with others. Perceived unfairness creates dissatisfaction and demand.
- **Expectancy Theory (Victor Vroom):** Employees are motivated when they believe performance leads to valued rewards. A lack of clear link between performance and pay weakens motivation.
- **Reinforcement Theory:** Uses repeated behaviors that are rewarded. A lack of consistent reward systems leads to a lack of desired behaviors.
- **LMX Theory (Leader-Member Exchange):** Focuses on the quality of the relationship between a leader and each individual member of their team; high-quality LMX leads to stronger trust and collaboration.
- **Psychological Contract:** An informal, unwritten set of expectations between an employer and employee (loyalty, growth, commitment).
- **Transactional Contract:** A strictly formal, contract-based relationship where the focus is on the immediate exchange of labor for pay/benefits.
- **Performance Management:** A holistic, continuous, and transparent process focused on support, growth, and aligning individual goals with organizational objectives.
- **Performance Appraisal:** An objective assessment of an individual's performance against well-defined benchmarks; often focuses on the "output" or "result."
- **360/720 Degree Appraisal:** A multi-source feedback system including feedback from subordinates, peers, and customers (not just the immediate supervisor).

  Rater Errors: Subjective biases that occur during the evaluation process, including:
    - Leniency or severity
    - Central tendency
    - Halo effect
    - Rater effect
    - Primacy and recency
    - Status effect
    - Spillover effect
    - Performance dimension order

Worked Examples

Devising a Compensation Plan (Process Flow) Based on the flowchart in `[shot_00-09-59.png]`, the following steps are required to design a compensation structure: 1. **Job Description:** Define activities and requirements. 2. **Job Evaluation:** Determine relative value. 3. **Job Hierarchy:** Establish reporting levels. 4. **Pay Survey:** Compare against market rates. 5. **Pricing Jobs:** Set the final salary bands.

Case Study: The Pay Equity Dilemma at TechNova Solutions Scenario Details: TechNova Solutions is a fast-growing mid-size IT service company in Bengaluru with approximately 1,200 employees. The company has expanded rapidly over the last three years, hiring aggressively from competitors. Because of this, compensation decisions were often made quickly to offer competitive salaries. - **The Conflict:** A senior employee (Priya, 5 years tenure, excellent ratings) discovered that a new hire (Arjun, 6 months tenure, similar skills) earned 25% more. - **Current Failures:** Salary decisions are negotiated individually during hiring; no formal salary bands exist; variable pay metrics are unclear.

Identified Major Compensation Management Issues (from *`[shot_00-52-23.png]`*): 1. Pay inequity between existing and new employees. 2. Lack of standardized salary structures. 3. Absence of transparent compensation policies. 4. Weak linkage between performance and rewards. 5. Poor communication regarding compensation decisions. 6. Risk of employee turnover and reduced morale.

Consequences of these issues (included in several slides): - Employees began discussing salary differences openly. - Team morale declined. - Some high-performing employees started applying for jobs elsewhere. - Managers complained that they lacked clear compensation guidelines. - HR noted rising attrition among experienced employees. - Finance warned that increasing salaries across the board would hurt profits.

Stakeholder Perspectives (Employee Reactions): - **Senior Employees:** Feel undervalued and unfairly treated; believe loyalty is not rewarded; perceive decisions as inconsistent. - **New Employees:** Believe higher market salaries are necessary to attract talent; feel they should not be penalized for negotiating better offers. - **Managers:** Want flexibility in rewarding top performers; feel HR policies are too vague. - **HR Department:** Wants to introduce a structured compensation management system; plans to conduct salary benchmarking and job evaluation.

Recommended Strategy for TechNova (Action Plan): - **Structure:** Introduce salary bands and graded pay structures based on Job Evaluation. - **Benchmarking:** Conduct market benchmarking to compare against industry standards. - **Performance Link:** Strengthen "Performance Linked Pay" by developing measurable KPIs and a transparent appraisal system. - **Transparency:** Clearly communicate the pay philosophy to all stakeholders. - **Loyalty Recognition:** Specifically reward tenure and critical skills to mitigate "brain drain" of experienced staff. - **HR's Role:** HR must design the policies, conduct surveys, ensure legal compliance, and balance the budget/finance constraints. - **Managerial Training:** Train managers in "people management" and objective appraisal, as technical expertise does not equal the ability to manage a team's compensation.

Case Study: Vasudha’s Dismay Context: Praxum provides investment solutions/retirement expertise to banks, sovereign wealth funds, and large corporates. The firm has a collaborative culture and is a "good pay master." **The Team:** Vasudha (Head of BV team) and Avi Ahuja (Junior member). They shared a high-quality LMX relationship, but the management lacked a "Plan B" because they relied too heavily on their strong personal bond. **The Crisis:** 4 days before Vasudda’s maternity leave, Avi resigned for a 30% higher salary.

Evidence from [shot_01-09-59.png], [shot_01-11-10.png], [shot_01-12-42.png], [shot_01-15-04.png], [shot_01-19-09.png], [shot_01-20-24.png]: - **Team Profile:** BV (Investigation and Intelligence) team requires high commitment/self-motivation due to high stakes (no "nickel and dime stuff"). - **Internal Situation:** Vasudha & Avi managed the bulk of the work; others were hired for "fringes." - **The Conflict:** Avi felt a "Transactional Contract" (salary-driven), while Vasudha believed in a "Psychological Contract" (bond-driven).

Formulas & Rules

- **The 50% Rule (India Labor Code 2026):** Basic pay and Dearness Allowance (DA) must together constitute at least 50% of the total remuneration to ensure compliance with statutory requirements.

  Span of Control Rule:
  - **High Complexity/Technicality:** Narrow span (e.g., 1 manager to 3-4 people).
  - **Low Complexity/Routine:** Wide span (e.g., 1 manager to 10+ people).
- **Retention Reward Rule:** A "retention reward" (given to stop a resignation) should **not** be used as a general performance reward. If the company pays a premium just to keep someone who is leaving, others will notice and demand the same, creating a "scarecrow" effect for the budget.

  Appraisal Design Criteria (Framework): To design a formal appraisal program, the system must answer:
  - **Formal vs Informal:** Is it a scheduled review or a spontaneous conversation?
  - **Whose Performance?** Individual, team, or division?
  - **Who are the Raters?** Supervisor, peers, subordinates, or a rating committee?
  - **What Problems?** Is it a performance issue or a process issue?
  - **How to Solve?** Selection of intervention (training, mentoring, etc.).
  - **What to Evaluate?** Selection of KPIs and metrics.
  - **When to Evaluate?** Frequency (monthly, quarterly, semi-annually).
  - **What Methods?** Specific tools and scales used for judgment.

Tricky Logic & Traps

Matching Strategy to Incentives: The specific "type" of incentive structure depends entirely on the firm's current business objective:

- **Invest to Grow:** Use **high cash with above-average incentives for individual performance**. Logic: To encourage entrepreneurship and individual risk-taking.
- **Manage/Protect Market:** Use **average cash with moderate incentives on unit/corporate performance**. Logic: To encourage team cohesion and alignment with the department/division.
- **Withdraw/Review (Cost Cutting):** Use **below-average cash with small incentives tied to cost control**. Logic: To squeeze costs and phase out products/markets.

- **JD vs. JE:** A Job Description is not just a list of tasks; it is a functional tool used to determine the **span of control** and the **skill set** required.
- **Pay Survey Context:** When using pay surveys, you must account for the **location** of the job (cost of living) and **difficulty of sourcing** (e.g., remote locations like mines may require extra allowances for accommodation/relocation).
- **The "No Attrition" Case:** If a pay survey shows a company is underpaying but there is no risk of attrition, management's decision is not strictly about retention but potentially about internal equity or long-term competitiveness.
- **The "Wait and See" Trap:** Management often waits for resignations to appear before addressing pay. However, dissatisfaction (internal inequity) exists even if employees are currently silent. Proactive management is required to address issues before they lead to attrition.
- **The "Domino Effect" of Undefined Bands:** Without fixed salary bands, a single successful negotiation for a high salary for a new hire (External Equity) automatically compromises the internal equity of everyone else, leading to a chain reaction of dissatisfaction.
- **Subjectivity of Fairness:** Equity is perceived. The same pay structure can be viewed as a "reward" by one person and an "insrut" by another based on their individual comparison of inputs/outputs.
- **Manager vs. HR Conflict:** Managers want "flexibility" to hire talent (willingness to pay more), while HR requires "structure" (salary bands) to maintain organization-wide equity.

The "Market vs. Internal" Dilemma: It is a common trap to think you must choose one.

- **Rule:** While both are necessary, **Internal Fairness** must be the primary priority for long-term sustainability.
- **Reasoning:** External equity (Market) helps with **attracting** talent (short-term/acquisition), but Internal Equity ensures the **retention** of the core knowledge system (long-term/retention). A company that only prioritizes market rates will face "brain drain" from senior staff who feel undervalued.

- **The "Offer" Trap:** Offering a much higher salary than the market average for a specific role (e.g., "doubling" a pay rate) creates a distorted perception of that role's value, and the employee will soon realize they are being "over-rewarded," leading to future dissatisfaction.
- **The "LMX" Pitfall:** High-quality LMX (Loyalty/Bonding) can lead to a lack of a "Plan B." Managers may mistakenly believe a strong emotional connection guarantees tenure.
- **The "Psychological vs. Transactional" Gap:** New-age workforce members may view their role as a "Transactional Contract" (it's a job, not a bond). If a manager views it as a "Psychological Contract" (loyalty), they will be blindsided when the employee leaves for a higher offer.
- **The "Counter-Offer" Trap:** Offering a higher salary to someone who has fully decided to leave (specifically to match a 30% external hike) creates a precedent. If the company offers a "retention reward" that exceeds the standard pay scale, it must not be shared as a "performance" metric, or all other employees will demand similar "exception" raises.
- **Subjectivity in Appraisal:** Because evaluations involve human judgment, they are prone to **Rater Errors**. A manager must ensure the system is robust enough to minimize these (e.g., avoiding "Halo Effect" where one good trait masks others, or "Leniency/Severity" where the rater's personal mood dictates the score).

- **Developmental vs. Decision-based Usage:** Performance appraisal serves two distinct purposes. **Developmental** focuses on the future (identifying training needs, strengths, and growth potential). **Decision-based** focuses on current actions (salary hikes, promotions, retention, or layoffs).
- **Support vs. Penalty:** The objective of appraisal is to find out **why** a performance gap exists. If it's due to resource constraints or circumstances, the solution is **support** (training, reassignment); if it's a recurring performance failure, the result may be a **decision** (termination/layoff).
- **Transparency vs. Confidentiality:** While performance appraisals are private, the **criteria** and **policies** must be transparent. Transparency ensures everyone knows the rules of the game, which motivates others and creates a fair culture.
- **"Willful Underperformance" Trap:** It is crucial to distinguish between "willful underperformance" (intentional poor work) and "circumstantial" failure (wrong tools, lack of training). Management must distinguish these before determining the appropriate consequence.

Exam Pointers

- **Identifying the Scenario:** If a question describes a company "growing" or "investing," choose the individual-performance-based incentive structure. If the company is "mature" or "steady," select the team/unit-based structure.
- **Drafting JD/JE:** Note that the JD is the **result** of the JE. The JE determines the "worth," and the JD defines the "skills/complexity."
- **Compliance Check:** If a question mentions the Indian labor context or 2026 rules, ensure the Basic + DA = 50% calculation is highlighted.

  Addressing the TechNova Case:
  - When asked about **Internal Equity**, focus on the disparity between Priya and Arjun.
  - When asked about **External Equity**, focus on the need to attract talent in a competitive market (the "new hire" perspective).
  - When asked about **HR's Role**, focus on the transition from "individual negotiation" to "structured salary bands" to curb the "domino effect."
  - When asked about **Management's Role**, emphasize that managers must be trained in "people management" and "objective appraisal," not just technical skills.
- **Question Analysis (from slide 35):** Be prepared to justify **why** a specific strategy is chosen by citing the relevant theory (e.g., Herzberg's Hygiene factors or Equity Theory) and identifying which specific stakeholder (Manager, Senior Employee, HR) that logic serves.
- **Consequences of Dissatisfaction:** If asked about the impact of pay inequity, list: lowered morale, reduced satisfaction, decreased productivity, higher absenteeism, higher turnover, and damage to the employer brand.

  Handling the "Vasudha" Case:
  - **Options for Vasudha:** 1. Retain (Counter-offer), 2. Internal Promotion (finding internal talent), 3. External Hire.
  - **Communication Strategy:** Maintain composure, identify current team capabilities, and establish a structured handover plan.
  - **Risk Analysis (Avi's Career):** Recognize that Avi is taking a risk in "uncharted territory" to get a higher "Equity" payout.
- **Generation Gap:** Note the difference in how managers (Vasudha) and the new-age workforce (Avi) view the "bond" vs. the "contract."
- **Distinguishing Appraisal vs. Management:** If a question asks about "Growth" or "Support," focus on the **Performance Management** aspect. If it asks about "Calculation," "Salary Hike," or "Fairness," focus on **Performance Appraisal** and **Compensation**.
- **Identifying Rater Errors:** If a question mentions a manager giving everyone "average" scores, it is **Central Tendency**. If they let one "halo" of success influence all ratings, it is **Halo Effect**.
- **Formality of Evaluation:** Note that **Formal** appraisals are scheduled and policy-driven (e.g., annual reviews), while **Informal** evaluations are discretionary and immediate (e.g., a supervisor addressing

an issue the moment it happens).

Sources

- MBAZG511_Managing People and Organization - Lectures 10-16 (2).pdf
- MBAZG11_Managing People and Organization - Lectures 10-16.pdf
- MBAZG11 Lecture 15 (2).pptx
- MBAZG11 Lecture 15.pptx
- MBAZG11_Managing People and Organization - Lectures 1-9 (2).pdf
- MBA ZG511 IIMA Case study.pptx